No. 18-0918

IN THE

Supreme Court of the United States

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

v.

MILTON WEINBERG, RESPONDENT

On Writ of Certiorari from the United States Court of Appeals for the Thirteenth Circuit

BRIEF FOR RESPONDENT

Team R1
Counsel for Respondent

Oral Argument Requested

QUESTIONS PRESENTED

I. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?

II. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

TABLE OF CONTENTS

QUESTIONS PRESENTED i
TABLE OF CONTENTS ii
TABLE OF AUTHORITIES iv
STATEMENT OF JURISDICTION viii
STATUTORY PROVISIONS & RULES INVOLVED viii
STATEMENT OF THE CASE 1
SUMMARY OF THE ARGUMENT 4
ARGUMENT 6
I. SECTION 362(a)(3) DOES NOT PROHIBIT PASSIVE RETENTION OF ESTATE PROPERTY. 6
A. The Unambiguous Language of § 362(a)(3) Only Prohibits Affirmative Actions Done to Obtain Possession of, or Exercise Control Over, Estate Property. 7
1. The Definition of "Act" Requires Something to be Done in Order to Trigger a Violation of the Automatic Stay Under § 362(a)(3). 7
2. The Passive Retention Courts Manufacture Ambiguity into §362(a)(3). 9
B. If § 362(a)(3) is Ambiguous, a Narrow Interpretation Coincides with the Statutory Scheme of the Bankruptcy Code. 10
1. The 1984 Amendments to § 362(a)(3) did not Change the Pre-Amendment Practice. 11
2. In Order to Maintain Harmony Among Sections in the Bankruptcy Code, § 362(a)(3) Cannot Prohibit Passive Retention. 12
3. Procedural Requirements Serve to Maintain the Status Quo at the Time of Filing. 17
C. Notwithstanding the Interpretation of § 362(a)(3), Damages Under § 362(k) Are Impermissible. 20
II. SUBSTANTIAL CONTRIBUTION ADMINISTRATIVE EXPENSES ARE PERMITTED IN CHAPTER 7. 21
A. Section 503(b) Unambiguously Allows for the Award of Administrative Expenses Beyond the Subsequent Enumerated Examples. 22
1. Proper Analysis in Alignment with the Canons of Statutory Interpretation Establishes that § 503(b) is Void of Ambiguity. 22
2. Section 503(b)(3)(D) Cannot Preclude Allowance of Administrative Expenses for Substantial Contributions to Chapter 7 Cases. 23
3. Section 503(b)(3)(D) Instructs when to Grant Administrative Expense Priority for Substantial Contributions in a Chapter 7 Case. 25

B. Allowance of Administrative Expenses for Substantial Contributions in a Chapter 7 Case Furthers Sound Bankruptcy Policy. 28

1. Precluding Substantial Contribution Administrative Expenses in Chapter 7 Cases Upsets the Equitable Powers Conferred onto Bankruptcy Judges. 28

2. If Substantial Contribution Administrative Expenses were Precluded from Chapter 7 Cases, Creditors Would be Dissuaded from Involvement. 29

CONCLUSION 31
APPENDIX A I
APPENDIX B II
APPENDIX C III
APPENDIX D IV
APPENDIX E V
APPENDIX F VI
APPENDIX G VII
APPENDIX H VIII
APPENDIX I IX
APPENDIX J X
APPENDIX K XI
APPENDIX L XII
APPENDIX M XIII
APPENDIX N XIV
APPENDIX O XV
APPENDIX P XVI
APPENDIX Q XVII
APPENDIX R XVIII
APPENDIX S XIX
APPENDIX T XX
APPENDIX U XXI
APPENDIX V XXII
APPENDIX W XXIII

TABLE OF AUTHORITIES

Supreme Court Cases

Citizens Bank of Md. V. Strumpf,
516 U.S. 16 (1995)..... 11, 13
Conn. Nat'l Bank v. Germain,
503 U.S. 249 (1992)..... 8, 10, 22
Duparquet Huot & Moneuse Co. v. Evans,
297 U.S. 216 (1936)..... 23
Emil v. Hanley,
318 U.S. 515 (1943)..... 10
Hibbs v. Winn,
542 U.S. 88 (2004)..... 23, 25
Kelly v. Robinson,
479 U.S. 36 (1986)..... 28, 29
Local Loan Co. v. Hunt,
292 U.S. 234 (1934)..... 28, 29
N.L.R.B. v. SW Gen., Inc.,
137 S. Ct. 929 (2017)..... 24
Pa. Dep't of Pub. Welfare v. Davenport,
495 U.S. 552 (1990)..... 11, 12
Pepper v. Littleton,
308 U.S. 295 (1939)..... 28
Ransom v. FIA Card Servs., N. Am.,
562 U.S. 61 (2011)..... 7, 8, 22
Robinson v. Shell Oil Co.,
519 U.S. 337 (1997)..... 9
United States v. Ron Pair Enters., Inc.,
489 U.S. 235 (1989)..... 8, 22
United States v. Whiting Pools, Inc.,
462 U.S. 198 (1983)..... 13, 18
Watt v. Alaska,
451 U.S. 259, 267 (1981)..... 12
Whitman v. Am. Trucking Ass'ns, Inc.,
531 U.S. 457 (2001)..... 8

Circuit Court of Appeals Cases

Ass'n of St. Croix Condo. Owners v. St. Croix Hotel Corp.,
682 F.2d 446 (3d Cir. 1982) 6
Charbono v. Sumski (In re Charbono),
790 F.3d 80 (1st Cir. 2015)..... 6
Davis v. Tyson Prepared Foods, Inc. (In re Garcia),
740 F. App'x 163 (10th Cir. 2018)..... 11, 13, 15
In re Lloyd Secs., Inc.,
75 F.3d 853 (3d Cir. 1996) 27

In re Mark Anthony Const., Inc. v. Ledlin (In re Mark Anthony Const., Inc.),
886 F.2d 1101 (9th Cir. 1989) 25
In re Tower Park Props., LLC,
803 F.3d 450 (9th Cir. 2015) 22, 23
Lebron v. Mechem Fin., Inc.,
27 F.3d 937 (3d Cir. 1994) 25
Mediofactoring v. McDermott (In re Connolly N. Am., LLC),
802 F.3d 810 (6th Cir. 2015) ..... passim
Official Comm. of Unsecured Creditors v. R.F. Lafferty & Co., Inc.,
267 F.3d 340 (3d Cir. 2001) 21
Reconstruction Fin. Corp. v. Kaplan,
185 F.2d 791 (1st Cir. 1950) 11
State of Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.),
98 F.3d 1147 (9th Cir. 1996) 9
Supplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.),
479 F.3d 167 (2d Cir. 2007) 28, 29
Texas v. Soileau (In re Soileau),
488 F.3d 302, 305 (5th Cir. 2007) 6
Thompson v. Gen. Motors Acceptance Corp.,
566 F.3d 699 (7th Cir. 2009) ..... passim
United States v. Inslaw,
932 F.2d 1467 (D.C. Cir. 1991) 7, 17
WD Equip., LLC v. Cowen (In re Cowen),
849 F.3d 943 (10th Cir. 2017) ..... passim
Weber v. SEFCU (In re Weber),
719 F.3d 72 (2d Cir. 2013) ..... passim

District Court Cases

Reed v. Nathan,
558 B.R. 800 (E.D. Mich. 2016) 20

Bankruptcy Appellate Panel Cases

Mosier v. Kupetz (In re United Educ. & Software),
2005 WL 6960237 (B.A.P. 9th Cir. Oct. 7, 2005) 25, 27
TranSouth Fin. Corp. v. Sharon (In re Sharon),
234 B.R. 679 (B.A.P. 6th Cir. 1999) 14

Bankruptcy Court Cases

In re Barringer,
244 B.R. 402 (Bankr. E.D. Mich. 1999) 15
In re Bernstein,
252 B.R. 846 (Bankr. D.D.C. 2000) 11, 12, 13, 15
In re Cameron,
166 F. Supp. 400 (Bankr. S.D. Cal. 1958) 28

In re Denby-Peterson,
576 B.R. 66 (Bankr. D.N.J. 2017) 19
In re Hall,
502 B.R. 650 (Bankr. D.D.C. 2014) 6, 11, 12, 16
In re Javed,
592 B.R. 615 (Bankr. D. Md. 2018) 26
In re Maqsoudi,
566 B.R. 40 (Bankr. C.D. Cal. 2017) 26, 27
In re Maust Transp., Inc.,
589 B.R. 887 (Bankr. W.D. Wash. 2018) 24, 25, 26, 27
In re Parks,
503 B.R. 820 (Bankr. W.D. Wash. 2013) 23
In re Peake,
588 B.R. 811 (Bankr. N.D. Ill. 2018) 6, 13, 23
In re Riding,
44 B.R. 846 (Bankr. D. Utah 1984) 17, 19, 20
In re Young,
193 B.R. 620 (Bankr. D.D.C. 1996) 11
Kanasky v. Purbeck (In re R. Purbeck & Assocs., Ltd.),
12 B.R. 406 (Bankr. D. Conn. 1981) 10

Statutes & Rules

11 U.S.C. § 101(9) (2018) 24, 26
11 U.S.C. § 101(9)(A) (2018) 26
11 U.S.C. § 102(3) (2018) 25
11 U.S.C. § 105(a) (2018) 7, 31
11 U.S.C. § 1106 (2018) 29
11 U.S.C. § 1106(a)(1) (2018) 28
11 U.S.C. § 1109(b) (2018) 26
11 U.S.C. § 323 (2018) 29
11 U.S.C. § 362(a) (2018) 6, 7
11 U.S.C. § 362(a)(3) (2018) ..... passim
11 U.S.C. § 362(k) (2018) 8, 23, 24
11 U.S.C. § 363(e) (2018) 18, 19
11 U.S.C. § 502(2) (2018) 32
11 U.S.C. § 503(b) (2018) 25, 26, 27, 32
11 U.S.C. § 503(b)(3) (2018) 27
11 U.S.C. § 503(b)(3)(D) (2018) ..... passim
11 U.S.C. § 503(c) (2018) 27
11 U.S.C. § 506 (2018) 22
11 U.S.C. § 507(a) (2018) 31
11 U.S.C. § 507(b) (2018) 18
11 U.S.C. § 541 (2018) 7, 17
11 U.S.C. § 542(a) (2018) ..... passim
11 U.S.C. § 542(b) (2018) 18
11 U.S.C. § 544(a) (2018) 17

11 U.S.C. § 548(a)(1) (2018) 30
11 U.S.C. § 701 (2018) 28
11 U.S.C. § 702 (2018) 28
11 U.S.C. § 703 (2018) 28
11 U.S.C. § 704 (2018) 29
11 U.S.C. § 704(a) (2018) 28
11 U.S.C. § 783 (2018) 29
11 U.S.C. § 902 (2018) 29
11 U.S.C. § 902(5) (2018) 29
Act of July 10, 1984, Pub. Law 98-353, 98 Stat. 333 (1984) 13
FED. R. BANKRUPTCY P. 3001(f) 22
FED. R. BANKRUPTCY P. 5005 21
FED. R. BANKRUPTCY P. 7001 advisory committee's notes 20
FED. R. BANKRUPTCY P. 7001(1) 20
FED. R. BANKRUPTCY P. 9014(a) 23

Secondary Sources

Act, *Black's Law Dictionary*, (10th ed. 2014) 9
Act, *Merriam-Webster Collegiate Dictionary* (11th ed. 2008) 9
Act, *Oxford-English Dictionary* (Oxford University Press 2019) 9
BANKR. SERVICE L. EDITION 26
CHARLES JORDAN TABB, THE LAW OF BANKRUPTCY 263 (3d ed. 2013) 18, 23, 35
COLLIER ON BANKRUPTCY (Matthew Bender 16th ed.) 21, 24
Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?*, 33 BANKR. L. LETTER, Sept. 2013 ..... passim
THOMAS J. SALERNO & JORDAN A. KROOP, BANKRUPTCY LITIGATION AND PRACTICE: A PRACTITIONER'S GUIDE (3d ed.) 27

OPINIONS BELOW

The District Court for the Circuit of Moot granted a default judgment on the Debtor's nonpayment. R. at 5. The Bankruptcy Court for the Circuit of Moot found no violation of § 362(a)(3) by passive retention of estate property. R. at 6. Appeals for both decisions were consolidated and presented to the Bankruptcy Appellate Panel for the District of Moot, who affirmed both decisions. R. at 9. The Appeals Court for the Thirteenth Circuit then reaffirmed both lower courts' decisions. R. at 9. This appeal followed.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS & RULES INVOLVED

The relevant statutory provisions involved in this case are listed below and reproduced in Appendices A through W.

11 U.S.C. §§ 101, 102, 105, 323, 362, 363, 502, 503, 506, 507, 541, 542, 544, 548, 701, 702, 703, 704, 783, 902, 1106, 1109.

Federal Rules of Bankruptcy Procedure Rules 3001, 5005, 7001, 9014.

STATEMENT OF THE CASE

Ballad of Backstreets. In the spring of 2015, Christopher "Big Man" Clemons ("Clemons"), the sole shareholder of Backstreets Plowing, Inc. (the "Debtor"), sought to purchase a fleet of new snow plow trucks with the hope of submitting a competitive bid for a contract with the City of Badlands (the "Contract"). R. at 3-4. To do so, Clemons approached the Respondent, Milton Weinberg ("Weinberg") to borrow $450,000. R. at 4. Weinberg agreed to provide the loan, and the Debtor purchased the new trucks in August 2015. R. at 4. To secure the loan, the Debtor granted Weinberg a security interest in the trucks and Clemons personally guaranteed the loan.[1] R. at 4. Scheduled payments on the loan were set to commence in December 2015. R. at 4.

High Hopes. Hopeful that the new trucks would provide the Debtor with the means to fulfill the Contract, the Debtor outbid two competitors, Tenth Avenue Freeze, Inc. ("Tenth Avenue") and Stone Pony Plowing, LLC ("Stone Pony"). R. at 4. The bid was so questionable that members of the city council publicly expressed doubt about whether the Debtor could operate a profitable business under the proposed terms. R. at 4. Even with these doubts, and knowing there would be a minimal profit margin, the City of Badlands awarded the Contract to the Debtor. R. at 4.

In the first year of the Contract, winter 2015 through 2016, Badlands experienced mild weather, resulting in the Debtor turning a profit. R. at 5. Despite these profits, the Debtor did not remit any scheduled payments to Weinberg because of a prior falling out over a college football game. R. at 5. In February 2016, after several unanswered phone calls, Weinberg had to

[1] As stipulated by the parties, the loan and subsequent purchase of the trucks constituted a valid purchase money security interest that was properly perfected according to applicable non-bankruptcy law. R. at 4 n.3. Therefore, Weinberg holds a first priority lien on the trucks. *Id.*

approach the Debtor regarding the nonpayment. R. at 5. This effort was also unsuccessful, as Clemons directed the Debtor's drivers to "forcibly remove [Weinberg] from the premises." R. at 5. Thus, Weinberg resorted to filing suit against both the Debtor and Clemons, jointly and severally, in April 2016. R. at 5. In October 2016, the State of Moot Circuit Court granted a default judgment against both the Debtor and Clemons for the amount of the loan plus interests and fees. R. at 5.

Darkness On The Edge Of Badlands. The weather in the beginning of winter 2016 was exceptionally bad, resulting in a substantial loss to the Debtor, as the city council members had predicted. R. at 5-6. Then, in January 2017, Weinberg began collection efforts on his judgment by repossessing the trucks from the Debtor. R. at 6. After repossession, the trucks remained at a warehouse owned by Weinberg, but there was no attempt to dispose of them. R. at 6 n.4. By this time, the Debtor was in dire straits. *See* R. at 5-6. Without trucks to conduct the snow plow business, and with the City of Badlands threatening to cancel the Contract and pursue legal action, the Debtor filed a chapter 11 petition in February 2017. R. at 6.

The Debtor wanted the fleet back. The first attempt at recovery was through a written letter by the Debtor's attorneys demanding the immediate return of the trucks. R. at 6. Concerned that he would not be able to protect his rights, Weinberg declined this letter. R. at 6. Then, instead of filing a turnover action, the Debtor filed a motion asking the court to determine that Weinberg violated the automatic stay under § 362(a)(3) of the Bankruptcy Code.[2] R. at 6. The bankruptcy court found no violation, holding that "mere retention of property lawfully

[2] The Bankruptcy Code is codified in 11 U.S.C. §§ 101 *et seq*. For the purposes of this brief, specific sections of the Bankruptcy Code are identified as "§ ___." In the same manner, specific rules from the Federal Rules of Bankruptcy Procedure are identified as "Rule ___."

repossessed prepetition" did not fall within the definition of an act to exercise control under § 362(a)(3). R. at 6. The Debtor appealed. R. at 6.

The City of Badlands then informed the Debtor that the Contract would not be renewed for a third winter. R. at 7. Lacking cash and equipment, and with an offseason approaching, the Debtor voluntarily converted the bankruptcy from one under chapter 11 to one under chapter 7. R. at 7. Steven Vin Sant (the "Trustee") was appointed to liquidate the estate in April 2017. R. at 7.

Not-So Brilliant Disguise. While the Trustee was familiarizing himself with the case, Weinberg decided to pursue collection on the judgment related to Clemons's personal guarantee.[3] R. at 7. Through the use of a collection law firm who took a creditor's examination of Clemons in May 2017, Weinberg discovered that the Debtor had fraudulently transferred $100,000 to Clemons's daughter, Patti. R. at 7. Weinberg voluntarily brought the information to the Trustee, who quickly settled with Patti, enlarging the estate by $75,000. R. at 7. Once the settlement was finalized, Weinberg sought to be reimbursed $25,000 for the legal fees that he incurred investigating the fraudulent transfer. R. at 7. The bankruptcy court granted the award to Weinberg, and the Trustee appealed this decision. R. at 8.

Sell It And They Will Come. In September 2017, five months following the conversion to a chapter 7 case, Tenth Avenue offered to purchase the Debtor's assets; however, the offer was conditional on obtaining possession and title of the trucks. R. at 8. Prior to this offer, the Trustee had made no attempt to recover possession of the trucks. *See* R. at 8. Weinberg resisted the Trustee's out-of-court negotiation efforts to retrieve the trucks, so the Trustee continued the appeal of the § 362(a)(3) violation in an attempt to pressure Weinberg into turning over the

[3] Although the Debtor had filed a chapter 11 petition and later converted the case to chapter 7, pursuing the judgment against Clemons was not a violation of the automatic stay because Clemons is not the Debtor.

property. R. at 8. But, after two months, Tenth Avenue withdrew its offer. R. at 8. Then, in January 2018, Stone Pony offered to purchase the Debtor's assets without the trucks. R. at 8. The Trustee accepted a purchase price $100,000 less than the Tenth Avenue offer, and the bankruptcy court confirmed the sale in February 2018. R. at 8-9.

Despite the successful sale to Stone Pony, the Trustee continued to pursue the appeals of the bankruptcy court's decisions. R. at 9. The appeals for both the violation of stay and the award of substantial contribution expenses were consolidated and affirmed by the Bankruptcy Appellate Panel for the Thirteenth Circuit. R. at 9. The United States Court of Appeals for the Thirteenth Circuit also affirmed the lower courts' decisions. R. at 9. This appeal now follows.

SUMMARY OF THE ARGUMENT

The United States Court of Appeals for the Thirteenth Circuit properly affirmed the bankruptcy court's determination that Weinberg did not violate the automatic stay by passively retaining possession of property lawfully repossessed before commencement of the bankruptcy. First, the language of § 362(a)(3) only prohibits affirmative conduct to obtain possession of, or exercise control over, estate property. A plain language analysis of the text exhibits that the definition of "act" unambiguously means that something affirmative must be done to trigger a violation of the stay.

Even if there is ambiguity in the statute, courts that read § 362(a)(3) broadly, as the Petitioner suggests, ignore the sound statutory interpretation principle that an act cannot destroy itself. If § 362(a)(3) were read expansively so as to encompass passive retention as a violation of the stay, multiple Code sections would become utterly pointless absent a dramatic reinterpretation of the statutory scheme. Specifically, allowing a violation upon passive retention of lawfully repossessed property initiates a waterfall effect that renders §§ 542(a) and 363(e),

among others, superfluous. Moreover, reading § 362(a)(3) broadly creates issues that run afoul of bankruptcy policy and rules of procedure set forth by this Court. Lastly, in the event that a violation of the stay did occur, the Petitioner is not entitled to damages because neither the Debtor nor the Trustee are individuals.

The lower courts also correctly determined that administrative expense claims are allowed in chapter 7 cases based on a theory of substantial contribution. First, the language of § 503(b) unambiguously allows for the award of such expenses. Employing the Code definition of "including" in the overarching clause of § 503(b) instructs that the phrase "in a case under chapter 9 or 11" in 503(b)(3)(D) is illustrative rather than limiting. A trend of recent case law further supports that the illustrative phrase serves to guide judges in atypical chapter 7 cases.

Second, equitable policies underlying the Bankruptcy Code support application of § 503(b)(3)(D) in chapter 7 cases. Even though allowing expenses in such a manner may go against a narrow enforcement of priorities, a court's inherent equitable powers promote rewarding creditors for their beneficial efforts. Prohibiting such awards would create a chilling effect among creditors, dissuading them from assisting trustees in future cases. This would result in disruption of chapter 7 case administration and smaller bankruptcy estates.

This Court should affirm the decision of the United States Court of Appeals for the Thirteenth Circuit in holding that Weinberg did not violate the automatic stay and is entitled to administrative expense priority in the amount of $25,000. Weinberg lawfully repossessed the snow plow trucks prior to the commencement of the bankruptcy. He passively retained them throughout the case in an effort to protect his rights in the face of inadequate demands. Further, Weinberg incurred a $25,000 expense to uncover a fraudulent transfer that enlarged the estate by $75,000. This substantial contribution benefitted all parties involved. Weinberg should not be

admonished for properly protecting his rights and for increasing the size of the estate for all interested parties.

ARGUMENT

Questions of law are reviewed *de novo*, including when the Court directly reviews bankruptcy courts' decisions. *Texas v. Soileau (In re Soileau)*, 488 F.3d 302, 305 (5th Cir. 2007); *see Charbono v. Sumski (In re Charbono)*, 790 F.3d 80, 84-85 (1st Cir. 2015). The facts of the present case are not in dispute, and this appeal presents only questions of law. R. at 3 n.2. Thus, the Court must apply a *de novo* standard of review. *In re Soileau*, 488 F.3d at 305.

I. SECTION 362(a)(3) DOES NOT PROHIBIT PASSIVE RETENTION OF ESTATE PROPERTY.

The United States Court of Appeals for the Thirteenth Circuit properly affirmed the bankruptcy court's order determining that Weinberg did not violate § 362(a)(3). Debtors file bankruptcy to seek relief from creditor collection efforts. *Ass'n of St. Croix Condo. Owners v. St. Croix Hotel Corp.*, 682 F.2d 446, 448 (3d Cir. 1982). Section 362(a) of the Bankruptcy Code provides that relief by imposing an automatic stay at the time a petition is filed. 11 U.S.C. § 362(a) (2018). The automatic stay halts all collection efforts, thus protecting estate property and maintaining the status quo.[4] *Id.* Specifically, § 362(a)(3) prevents any creditor act to obtain possession of, or to exercise control over, property of the estate. *Id.* Some courts[5] suggest that a different definition can be applied to the text of the statute. *See, e.g.*, *Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 701 (7th Cir. 2009); *In re Peake*, 588 B.R. 811, 832 (Bankr.

[4] While the record indicates that there is no dispute as to whether the trucks constitute estate property, lack of possession by the debtor generally creates an issue of whether such property falls within the definition of § 541. *See In re Hall*, 502 B.R. 650, 667-69 (Bankr. D.D.C. 2014) (noting possession is a major component in determining estate property). Although not a question currently at issue, the Court may raise it *sua sponte* if so compelled. 11 U.S.C. § 105(a).

[5] For the interest of clarity, courts supporting a violation of § 362(a)(3) upon passive retention of property are hereinafter collectively referred to as "passive retention courts."

N.D. Ill. 2018). However, these passive retention courts manufacture ambiguity in the statute by cherry-picking beneficial language that supports a reading prohibiting passive retention. *See, e.g.*, *Thompson*, 566 F.3d at 701. Principles of statutory interpretation dictate that the language of § 362(a)(3) can only be read to prohibit affirmative actions. *See WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991). It does not prohibit passive retention of property. *See In re Cowen*, 849 F.3d at 949. Nevertheless, in any conclusion the Court draws, Petitioner is not entitled to damages under § 362(k), making a remand unnecessary.

A. The Unambiguous Language of § 362(a)(3) Only Prohibits Affirmative Actions Done to Obtain Possession of, or Exercise Control Over, Estate Property.

Canons of statutory interpretation conclude that § 362(a)(3) is unambiguous. Because the Code does not provide a definition of "act," the reader must apply the term's ordinary meaning. *Ransom v. FIA Card Servs., N. Am.*, 562 U.S. 61, 69 (2011). When looking at the statute as a whole, it is void of ambiguity. A misguided interpretation of § 362(a)(3) leads some courts to believe that ambiguity exists in the language. *See, e.g.*, *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 79 (2d Cir. 2013); *Thompson*, 566 F.3d at 703. However, a strict adherence to the text requires that a violation of § 362(a)(3) occurs only upon affirmative conduct.

1. The Definition of "Act" Requires Something to be Done in Order to Trigger a Violation of the Automatic Stay Under § 362(a)(3).

Interpreting a statute of the Bankruptcy Code begins in the same place as any other statutory consideration—the language of the text. *Ransom*, 562 U.S. 61, 69 (2011); *see In re Cowen*, 849 F.3d at 949. Section 362(a)(3) of the Code operates to stay "any *act* to obtain possession of . . . or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3) (emphasis added). Without an applicable statutory definition in the Code, words must be given

their ordinary meanings. *Ransom*, 562 U.S. at 69. An "act" is defined as "something done." *See Act, Oxford-English Dictionary* (Oxford University Press 2019); *see also Act, Merriam-Webster Collegiate Dictionary* (11th ed. 2008) ("the doing of something"); *Act, Black's Law Dictionary*, (10th ed. 2014) ("something done or performed"). Because "any act" grammatically operates as a modifier for the remainder of the statute, § 362(a)(3) prohibits a creditor from *doing* something to obtain possession of, or exercise control over, property of the estate. *See In re Cowen*, 849 F.3d at 949. (analyzing grammatical breakdown of § 362(a)(3)). Passive retention of lawfully possessed property cannot logically fit within the plain meaning of "act"—inactivity directly contradicts the need for something to be done. *Id.*

Section 362(a)(3) is unambiguous and, therefore, the text precludes further analysis. When a statute's language is understood, the reviewing court's role is to enforce the statute in accordance with its terms. *See United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 241 (1989). Thus, the prohibition is on "any act" to obtain possession of, or exercise control over, estate property; it does not prohibit continued possession or control of property. 11 U.S.C. 362(a)(3). Even if the "passive retention" courts wanted to expand this analysis further, this Court has held that Congress does not "hide elephants in mouseholes" and means what it says in a statute. *Whitman v. Am. Trucking Ass'ns, Inc.*, 531 U.S. 457, 468 (2001); *see Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253-54 (1992). A "faithful adherence to the text" indicates that a violation of the stay occurs only upon an affirmative action taken by the creditor. *In re Cowen*, 849 F.3d at 949.

Weinberg did not violate § 362(a)(3). It is undisputed that Weinberg repossessed the trucks prior to the filing of the petition. R. at 6. When Weinberg acted, § 362(a)(3) was not yet in effect. R. at 6. After the Debtor filed for bankruptcy, Weinberg retained the trucks in his

warehouse, but did not sell, lease, or otherwise dispose of the property. R. at 6 n.4. While he maintained possession of the property post-petition, there was no further affirmative action on his part. His retention was passive, not an affirmative act; thus, he did not violate the automatic stay.

2. The Passive Retention Courts Manufacture Ambiguity into §362(a)(3).

Analysis of statutory language requires that the reviewing court look at the statute as a whole, rather than in a piecemeal fashion. *See Robinson v. Shell Oil Co.*, 519 U.S. 337, 341 (1997). Courts supporting a passive stay violation ignore this canon. *See, e.g.*, *In re Weber*, 719 F.3d at 79 (analyzing "exercise control"); *Thompson*, 566 F.3d at 703 (determining meaning of "exercise control). They find ambiguity in § 362(a)(3) by ignoring "act" and instead focusing on disconnected terms within the statute. Specifically, these passive retention courts look to the phrase "exercise control," a 1984 legislative amendment, to expand the scope of the stay to encompass retention of property repossessed before the filing of the bankruptcy petition. *See, e.g.*, *State of Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.)*, 98 F.3d 1147, 1151 (9th Cir. 1996). The argument then follows that Congress's amendment furthered the purpose of the stay by broadening it to include prepetition possession of estate property within the meaning of "exercise control." *In re Weber*, 719 F.3d at 80.

By focusing on this single aspect of the statute, the passive retention courts introduce ambiguity that skews the plain meaning of the language. *See In re Cowen*, 849 F.3d at 949. These courts deconstruct the text; accordingly, fabricated ambiguity permits a glance at legislative history. *Compare Thompson*, 566 F.3d at 702 (defining "exercise control" instead of "any act"), *with In re Cowen*, 849 F.3d at 949 (explaining modifying clause, "any act," instructs remaining text). However, a proper analysis prohibits any guidance beyond the language of the

statute. *See Conn. Nat'l Bank*, 503 U.S. at 254. While lawfully retaining property may appear to be an exercise of control, § 362(a)(3) does not prohibit the exercise of control—it prohibits "any *act* . . . to exercise control." 11 U.S.C. § 362(a)(3) (emphasis added). *Contra In re Weber*, 719 F.3d at 79 (interpreting only "exercise control" language of § 362(a)(3)).

The passive retention courts incorrectly place weight on the definition of "exercise control" and therefore improperly interpret the language of § 362(a)(3) to appear ambiguous. *See In re Cowen*, 849 F.3d at 949-50. Weinberg controlled the property by retaining possession after the filing of the petition. R. at 6. Under the passive retention courts' definition, this is enough to violate § 362(a)(3). But, looking at the statute, the plain meaning prohibits an *act* that obtains property or exercises control. There was no act to control the trucks, and the act to possess the trucks occurred before the filing. R. at 6. Plainly, Weinberg could not have violated the stay without acting after the commencement of the bankruptcy.

B. If § 362(a)(3) is Ambiguous, a Narrow Interpretation Coincides with the Statutory Scheme of the Bankruptcy Code.

Statutes are not written "on a clean slate." *Emil v. Hanley*, 318 U.S. 515, 521 (1943). Pre-1984 bankruptcy practice allowed secured creditors to retain collateral that was lawfully repossessed prepetition. *Cf. Kanasky v. Purbeck (In re R. Purbeck & Assocs., Ltd.)*, 12 B.R. 406 (Bankr. D. Conn. 1981) (permitting turnover for *unlawfully* repossessed property). In 1984 Congress added "or to exercise control over property of the estate" to § 362(a)(3). Act of July 10, 1984, Pub. Law 98-353, sec. 441(a)(2), § 362(a)(3), 98 Stat. 333, 371 (1984). This amendment has created the circuit split on the issue of whether passive retention of estate property violates the automatic stay. *Compare In re Weber*, 719 F.3d at 79, *and Thompson*, 566 F.3d at 702, *with Davis v. Tyson Prepared Foods, Inc. (In re Garcia)*, 740 F.

App'x 163, 164 (10th Cir. 2018), *and In re Cowen*, 849 F.3d at 948, *and In re Bernstein*, 252 B.R. 846, 849 (Bankr. D.D.C. 2000).

A narrow interpretation of the amendment must be adopted. First, there is no legislative history to suggest that the 1984 amendment was designed to create a major change in prior statutory interpretation. *See* Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?*, 33 BANKR. L. LETTER, Sept. 2013. Second, a narrow interpretation of § 362(a)(3) maintains harmonization with other sections of the Bankruptcy Code. *See In re Cowen*, 849 F.3d at 950; *In re Hall*, 502 B.R. 650, 654-55 (Brankr. D.D.C. 2014). A broad interpretation of the statute would not only render sections of the Code superfluous, but would also nullify rules and procedures set forth by this Court. This contrary reading would violate the "elementary rule" of statutory interpretation that "the act cannot be held to destroy itself." *Citizens Bank of Md. V. Strumpf*, 516 U.S. 16, 20 (1995).

1. The 1984 Amendments to § 362(a)(3) did not Change the Pre-Amendment Practice.

A narrow interpretation of § 362(a)(3) aligns with the pre-1984 practice. Without a clear meaning or accompanying legislative history, courts must not "read the . . . Code to erode past . . . practice." *Pa. Dep't of Pub. Welfare v. Davenport*, 495 U.S. 552, 563 (1990). Pre-1984, § 362(a)(3) only prohibited acts to obtain possession of estate property following the commencement of the bankruptcy. *See Thompson*, 566 F.3d at 702. It did not prohibit the possession of property that was obtained prepetition. *Id.* Instead, prior practice required that a motion be ordered, and adequate protection be proven, before a creditor relinquish any estate property to the debtor. *In re Young*, 193 B.R. 620, 626 (Bankr. D.D.C. 1996) (citing *Reconstruction Fin. Corp. v. Kaplan*, 185 F.2d 791, 797-98 (1st Cir. 1950)). It follows that if a

motion were required to obtain a turnover order, passive retention of property could not be a violation of § 362(a)(3). *See In re Bernstein*, 252 B.R. 846, 854 (Bankr. D.D.C 2000). Put simply, before the 1984 amendment, a violation could only occur upon a creditor's refusal to comply with a post-petition turnover order.

In the absence of clear legislative history, the pre-amendment practice must continue. *Pa. Dep't of Pub. Welfare*, 495 U.S. at 563. Congress provided no insight to the intent behind the 1984 amendment, simply stating that the language would be changed. Act of July 10, 1984, Pub. Law 98-353, sec. 441, 98 Stat. 333, 371; *see* Brubaker, *supra*. Retaining possession of lawfully repossessed estate property was not a violation prior to the change in the Code, and it cannot be one now.

2. In Order to Maintain Harmony Among Sections in the Bankruptcy Code, § 362(a)(3) Cannot Prohibit Passive Retention.

The Code must be read in a manner that "give[s] effect to each" section if it can be done "while preserving . . . sense and purpose." *See Watt v. Alaska*, 451 U.S. 259, 267 (1981); *In re Hall*, 502 B.R. at 666 (noting statutes shall be read so as to avoid absurd results). A broad reading of § 362(a)(3), as the passive retention courts suggest, does the exact opposite. For instance, § 362(a)(3) often works in tandem with § 542(a), which states that "an entity . . . in possession . . . of property . . . shall deliver to the trustee . . . such property, unless [it] is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). Prior to the 1984 amendment, § 362(a)(3) did not operate as a turnover provision; instead, § 542(a) required a court order before a creditor had to turn over estate property. *In re Young*, 193 B.R. at 626 (citing *Reconstruction Fin. Corp.*, 185 F.2d at 797-98). The passive retention courts alter the requirements of § 542(a) to justify their broad interpretation of §

362(a)(3). However, this new reading initiates a waterfall of superfluousness that would create more problems than it solves.

First, an expansive reading of § 362(a)(3) is inappropriate because it applies incorrect definitions to phrases in the statute. The passive retention courts' reading can be supported if an "act" encompasses the process of doing something. *See, e.g.*, *In re Peake*, 588 B.R. 811 at 832. However, the same courts interpret "act" narrowly in a later subsection of § 362. *See id*. (interpreting "act" in § 362(b)(3) to mean affirmative conduct). A term cannot be read to have multiple meanings within the same statute. *In re Garcia*, 740 F. App'x at 164; *see Strumpf*, 516 U.S. at 21 (declining to interpret language in manner inconsistent with statutory scheme). "Act" cannot mean two different things within one section.

Not only would a broad reading of § 362(a)(3) undermine the statute itself, but also multiple other Bankruptcy Code provisions. *See* Brubaker, *supra*. This Court has refused to apply a meaning to a section of the Code that would contradict the whole of the scheme. *Strumpf*, 516 U.S. at 21. To justify § 362(a)(3)'s broad interpretation, passive retention courts subsequently read § 542(a) to require immediate turnover. *See In re Bernstein*, 252 B.R. at 853. However, interpreting § 542(a) to be self-executing fails to consider the text of the statute and its historical application. *See In re Cowen*, 849 F.3d at 950. Section 542(a) is not self-executing because turnover is not always required. CHARLES JORDAN TABB, THE LAW OF BANKRUPTCY 263 (3d ed. 2013). Indeed, this Court has previously stated that "there are explicit limitations on the reach of § 542(a)." *United States v. Whiting Pools Inc*., 462 U.S. 198, 206 (1983). Property that is "of inconsequential value or benefit to the estate" and property that the trustee cannot "use, sell, or lease" need not be turned over. 11 U.S.C. § 542(a). If § 542(a) were self-executing and required automatic turnover in every case, there

would have been no reason for Congress to write these exceptions into the Code. *In re Bernstein*, 252 B.R. at 850. The passive retention courts fail to read the entire provision, which renders the limitations meaningless.

Furthermore, § 542(a) makes no mention that turnover should take place at the time of the commencement of the case. 11 U.S.C. § 542(a). The text of § 542(a) states that it applies "during the case," and not "at the time of filing" or "at the commencement of the case." *Compare* 11 U.S.C. § 542(a) (stating "during the case"), *with* 11 U.S.C. § 541(a) (creating the estate upon "[t]he commencement of a case"), *and* 11 U.S.C. § 544(a) (providing rights to the trustee "as of the commencement of the case"). The passive retention courts argue that it is important for debtors to immediately receive their property in order to complete a successful reorganization. *Thompson*, 566 F.3d at 700. But, this reading is "highly dubious" because it places practical implications over the statutory text. *See In re Cowen*, 849 F.3d at 949; *TranSouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 679, 688 (B.A.P. 6th Cir. 1999) (Stosberg, J., dissenting); Brubaker, *supra*. Thus, without explicit language stating turnover is required *at the commencement of the case*, § 542(a) cannot be self-executing. *Id.*

The passive retention courts also look to "shall" as proof that the provision is mandatory in all situations—making § 542(a) self-executing. *In re Sharon*, 234 B.R. at 685. However, the express limitations and the language of the statute plainly show that the phrase "shall deliver to the trustee" does not have the force that the passive retention courts would like it to have. *See, e.g.*, *In re Weber*, 719 F.3d at 79. Rather, "shall" only applies when the explicit exceptions do not. *See In re Bernstein*, 252 B.R. at 852. This more-limited use of

"shall" falls in line with the settled interpretation of the term in § 542(b).[6] *Id.* at 852. Both subsections of the same provision should be read to give the term the same meaning. *In re Garcia*, 740 F. App'x at 164. Where § 542(b) does not have the mandatory power behind "shall," § 542(a) cannot be self-executing, either. *In re Bernstein*, 252 B.R. at 852.

Worse yet, an adverse reading of § 542(a) would render other sections of the Code meaningless. Section 363(e), for example, protects a secured creditor's interest in property by "provid[ing] adequate protection" when requested.[7] 11 U.S.C. § 363(e). Congress included a cross section to § 363, specifically stating that turnover is subject to the condition that the debtor provide adequate protection. 11 U.S.C. § 542(a). "Surely Congress did not intend § 542(a) to be interpreted in a fashion that would eviscerate the statutory protections of §[] 363(e) . . . ." *In re Bernstein*, 252 B.R. at 850. Interpreting § 542(a) in line with the prohibition on passive retention ultimately nullifies § 363(e) because creditors would be forced to immediately turn over collateral prior to a court's determination of adequate protection. *In re Barringer*, 244 B.R. 402, 410 (Bankr. E.D. Mich. 1999).

Then, a nullification of § 363(e) results in creditors not being adequately protected. Debtors will then have no incentive to negotiate or provide creditors with adequate protection, as they already have possession of their property. *See* Brubaker, *supra*. The passive retention courts argue that allowing the creditor to maintain possession tips the scale in favor of the creditor who can then stall until it "subjectively feels that adequate protection

[6] **"**Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor." 11 U.S.C. § 542(b).

[7] The passive retention courts' reading of turnover prior to a determination of adequate protection also renders § 507 of the Code meaningless. Section 507(b) acknowledges that when adequate protection turns out to be inadequate, the creditor is entitled to an administrative expense on that claim. 11 U.S.C. § 507(b). Without requiring the debtor to provide adequate protection in order to achieve turnover, the creditor also loses the protection afforded by § 507(b). *In re Bernstein*, 252 B.R. at 850.

is in place." *Thompson*, 566 F.3d at 707. This approach is misguided because adequate protection is not based on a creditor's subjective intent, but a determination based on facts presented. *See* 4 COLLIER ON BANKRUPTCY ¶ 506.03, § 7(a) (Matthew Bender 16th ed.) (stating valuation of claim filed aids in determination of adequate protection). While the passive retention courts concern themselves with creditor power, they tip the scale too far in favor of the debtor by eliminating this key defense to turnover. Brubaker, *supra*.

A narrow interpretation prevents an unjust reality for creditors like Weinberg by ensuring that their rights remain protected. Weinberg attempted to collect on his loan by calling the Debtor multiple times, visiting the Debtor's place of business, and obtaining a default judgment. R. at 5. Removing his right to adequate protection and forcing him to immediately relinquish the property leaves him vulnerable to the delinquent Debtor.

Section 362(a)(3) cannot have the broad meaning used by the passive retention courts simply because it undermines the statutory scheme of the Bankruptcy Code. Under no sound interpretation can § 542(a) be self-executing. "Indeed, it is only by means of a post-hoc boot-strap, under the influence of the overly broad interpretation of § 362(a)(3), that the courts have misconstrued § 542(a) as . . . being self-executing when (on its face) it clearly cannot be, and its origins further confirm that conclusion." *In re Hall*, 502 B.R. at 664. Reading § 542(a) as self-executing also renders meaningless court-ordered adequate protection prior to turnover. *See* Brubaker, *supra*. A narrow reading is in line with the statutory scheme as a whole.

3. Procedural Requirements Serve to Maintain the Status Quo at the Time of Filing.

The underlying purpose of the automatic stay is to maintain the petition-date status quo by preventing creditors from completely depleting the estate in an effort to find relief. *See* Brubaker, *supra*. Although bankruptcy law shelters debtors in a time of distress, creditors also have rights that must be protected. TABB, *supra*, at 81. Established procedural rules acknowledge these rights and protect both creditor and debtor throughout the bankruptcy case. *See generally* FED. R. BANKRUPTCY P. 3001, 5005, 7001, 9014. Reading § 362(a)(3) to prohibit passive retention by the creditor disrupts the status quo and runs afoul of these safeguards.

There are procedural rules attached to § 542(a) turnover orders. *See In re Riding*, 44 B.R. 846, 859 (Bankr. D. Utah 1984). Bankruptcy Rule 7001(1) mandates that a formal adversarial proceeding be filed "to recover money or property." FED. R. BANKRUPTCY P. 7001(1). Congress has also specifically noted that "a trustee may proceed by motion to recover property."[8] FED. R. BANKRUPTCY P. 7001 advisory committee's notes. A formal proceeding protects the petition-date status quo by preventing the debtor from taking estate property to which it may not be entitled. *In re Young*, 193 B.R. at 623. It cannot be said that possession "in resistance to the debtor's view of its rights violates § 362(a)[(3)]." *Inslaw*, 932 F.2d at 1473. A formal proceeding also allows the creditor to assert their key defense—adequate protection—before the court. *In re Young*, 193 B.R. at 626 (ordering turnover after proof of adequate protection). Adequate protection is a court determination, and therefore cannot be granted without formal motions. 4 COLLIER ON BANKRUPTCY ¶ 506.03, § 7(a). In addition, the creditor may also assert

[8] The passive retention courts have argued that Congress has not intended to place the burden of filing turnover motions on the trustee. *In re Sharon*, 234 B.R. at 686. But, this argument is without merit, as specific Notes of Advisory indicate how a trustee should go about filing such an action. FED. R. BANKRUPTCY P. 7001 advisory committee's notes.

the defense that the property was of inconsequential value or benefit to the estate. 11 U.S.C. § 542(a).

Finally, the inconsequential value exception found in § 542(a) was a central theme in *United States v. Whiting Pools, Inc.* 462 U.S. 198 (1983). The Petitioner relies heavily on the *Whiting Pools* decision, but this reliance is mistaken. The appeal before this Court presents questions in a chapter 7 liquidation, where *Whiting Pools* addressed turnover in a *reorganization*. *Id*. at 199. The Court explicitly left open the question of turnover in a liquidation. *Id.* at 208 n.17. Had the case presently before the Court not been converted to a chapter 7, *Whiting Pools* may have applied. *Id.* But, without the reorganization context, this Court is not bound by that decision. *Id.* Even further, the *Whiting Pools* Court analyzed the applicability of a formal turnover order—something that is glaringly absent from the present facts. *Compare id.* at 199 (indicating issue involves application of "turnover order with respect to . . . seized property), *with* R. at 6 (noting trustee never filed turnover motion).

It is the Petitioner's view that the Debtor was entitled to possession of the trucks. However, there should have been a formal turnover motion filed in accordance with the rules after the initial chapter 11 petition. There was not. R. at 6. Two months after the chapter 11 petition, the case was converted to a chapter 7 and the Trustee was appointed. R. at 7. A five-month span elapsed from the Trustee's appointment to the Tenth Avenue offer, during which time the Trustee did not file any motion or otherwise negotiate return of the trucks. R. at 7-8. An additional two-month period existed between the Tenth Avenue and Stone Pony offers, where the Trustee only attempted negotiation outside of the courtroom. R. at 7-8. Because the rules require a formal action be filed with the court, a creditor is within its rights to not turn over property upon an out-of-court request by the debtor. FED. R. BANKRUPTCY P. 5005. The

Petitioner had a total of nine months during which procedure could have been followed to obtain possession of the trucks by utilizing a formal turnover order. R. at 6-9. Weinberg's rights—and the status quo—must be protected because the Petitioner skirted around the procedural requirements by avoiding formal motions.

The record is also void of facts indicating a concrete value of the snow plow trucks at the time of the petition.[9] However, as the moving party, the Trustee bears the burden of establishing a *prima facie* case that the trucks are not of inconsequential value. *See* 3A BANKR. SERVICE L. EDITION § 30:127 (noting burden of proof rests with party seeking turnover). Adversarial turnover motions may sufficiently provide evidence. *See* FED. R. BANKRUPTCY P. 3001(f) (indicating properly filed claim constitutes valid prima facie evidence). But, as previously discussed, the Trustee has failed to pursue a formal turnover order, and without further dispositive facts, has also failed to prove that the trucks are not of inconsequential value to the estate. Thus, the trucks are not subject to turnover.

Reading the Code in conjunction with Rule 7001(1), procedure establishes that a trustee or debtor in possession file for turnover. *In re Riding*, 44 B.R. at 859 (interpreting bankruptcy rules to mandate an adversarial proceeding before turnover of estate property). "It would simply be unfair to declare a stay violation for not turning the [property] over when the . . . true interest in [it] was unknown." *See In re Denby-Peterson*, 576 B.R. 66, 82 (Bankr. D.N.J. 2017). Yet, the Petitioner now urges under principles of equity to alter that procedure by requiring Weinberg to return property and subsequently file for relief of stay. *See* R. at 6; *cf. In re Sharon*, 234 B.R. at

[9] The United States Bankruptcy Court for the District of Moot, the Bankruptcy Appellate Panel for the Thirteenth Circuit, and the United States Court of Appeals for the Thirteenth Circuit ruled for Weinberg that the passive retention of the trucks was not a violation of the automatic stay under § 362(a)(3). R. at 3. Because no courts have held in favor of the Petitioner, there are no facts in the record to indicate the value of the trucks on the date of the Debtor's original chapter 11 filing in accordance with § 506. Therefore, the Trustee's claim that the secured creditor benefitted from not turning over the trucks is unsubstantiated without further evidence.

684. Practical implications support this plea because a relief of stay motion, it may be easily expedited, is inherently faster than an adversarial proceeding. See THOMAS J. SALERNO & JORDAN A. KROOP, BANKRUPTCY LITIGATION AND PRACTICE: A PRACTITIONER'S GUIDE § 9.11 (3d ed.). Throughout a formal proceeding, property may depreciate and would not provide maximum value to the estate. A motion, on the other hand, requires a simple hearing in court. FED. R. BANKRUPTCY P. 9014(a). The Petitioner fails to note, though, that a turnover motion may be accompanied by a written request for expedited consideration. *In re Riding*, 44 B.R. at 859; *see also Reed v. Nathan*, 558 B.R. 800, 822 (E.D. Mich. 2016) (concluding a turnover motion is sufficient, a fully litigated adversarial proceeding is not required). The Petitioner had the option to expedite the turnover process, but failed to exercise it.

The procedural rules are in support of a narrow interpretation of § 362(a)(3). The Petitioner has been protected, and Weinberg deserves the same. Prohibiting passive retention erodes all of a creditor's entitled protections.

C. Notwithstanding the Interpretation of § 362(a)(3), Damages Under § 362(k) Are Impermissible.

Section 362(k) allows the award of damages to "an individual injured by any willful violation" of the automatic stay. 11 U.S.C. § 362(k). Although any intentional act violating the stay—regardless of good faith—constitutes a willful violation, good faith is sufficient to preclude the imposition of punitive damages. *In re Weber*, 719 F.3d at 82. The Petitioner asks this Court to remand the case in order to determine damages caused by Weinberg's possession of the trucks. However, the Petitioner incorrectly believes damages are available based on the present facts.

As previously discussed, Weinberg did not violate the stay, let alone conduct a willful violation. If, though, this Court were to find a violation of the stay, no damages are available.

The Debtor is a corporation, and not an "individual" to whom damages can be awarded under § 362(k). *See* 11 U.S.C. § 101(9) (defining "corporation"). Although the Trustee steps into the position of the Debtor, no damages can be awarded where the Debtor is an incorporated plowing business—not an individual. *Official Comm. of Unsecured Creditors v. R.F. Lafferty & Co., Inc.*, 267 F.3d 340, 358 (3d Cir. 2001). Clemons, an individual, is likely to be affected by the bankruptcy case, as he is a personal guarantor of the Debtor's loan; however, he is not the debtor who filed the bankruptcy petition. R. at 6. Finally, Weinberg's good faith actions in furtherance of protecting his rights would not be subject to punitive damages. *In re Weber*, 719 F.3d at 82 (indicating good faith actions are sufficient to preclude punitive damages). Weinberg did not violate § 362(a)(3), as the Petitioner contends; in any event, no damages are awardable under § 362(k).

II. SUBSTANTIAL CONTRIBUTION ADMINISTRATIVE EXPENSES ARE PERMITTED IN CHAPTER 7.

The Court of Appeals for the Thirteenth Circuit properly affirmed the bankruptcy court's order permitting the award of administrative expenses for Weinberg's substantial contribution to the Debtor's chapter 7 case. Section 503(b) advances a reading of the statute that extends beyond the subsequent examples in §§ 503(b)(1)-(9), and encapsulates substantial contributions in chapter 7 cases. *Contra Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 822 (6th Cir. 2015). Section 503(b)(3)(D), an example following § 503(b), does not place limitations on administrative expense reimbursements. *Id.* Instead, the subsection guides judges in determining whether such claims should be awarded. *Id.* This interpretation furthers bankruptcy policy without contravening the language of the text.

A. Section 503(b) Unambiguously Allows for the Award of Administrative Expenses Beyond the Subsequent Enumerated Examples.

The presence and location of the phrase "including" in § 503(b) demonstrates that application of the statute to chapter 7 cases is not precluded by § 503(b)(3)(D). "Including" is defined in the Code as an explicit illustrative signal. 11 U.S.C. § 102(3). Section 503(b) employs this term and therefore commands that subsequent provisions are example. 11 U.S.C. § 503(b); *In re Tower Park Props., LLC*, 803 F.3d 450, 460 (9th Cir. 2015). Conversely, it is impossible to glean any information on a standalone reading of § 503(b)(3)(D)'s text. *In re Connolly N. Am., LLC*, 802 F.3d at 822 (O'Malley, J., dissenting). Relying on context between the entirety of § 503(b), it is evident that § 503(b)(3)(D) does not have a preclusive effect. *Id.* at 816. Rather, context and analysis of the statute as a whole reveal that § 503(b)(3)(D) instructs judges to grant administrative expense priority when a chapter 7 case is "atypical." *Id*.

1. Proper Analysis in Alignment with the Canons of Statutory Interpretation Establishes that § 503(b) is Void of Ambiguity.

As with all matters of statutory interpretation, the Court must begin first and foremost "with the language of the statute itself." *Ron Pair Enters.*, 489 U.S. at 241; *see Ransom*, 562 U.S. at 69. If the language is unambiguous, the inquiry ends. *Conn. Nat'l Bank*, 503 U.S. at 253-54. Section 503(b) reads: "[a]fter notice and a hearing, there shall be allowed administrative expenses . . . *including* . . . ." 11 U.S.C. § 503(b) (emphasis added). Congress provided definitions for certain important words in § 102 of the Bankruptcy Code—aptly titled "Rules of construction." 11 U.S.C. § 102(3). According to § 102(3), "'includes' and 'including' are not limiting." *Id*. If a Code provision uses the phrase "including," § 102(3) commands that what comes after is merely illustrative. *In re Tower Park Props., LLC*, 803 F.3d at 460.

A proper interpretation of "including" is consistently applied throughout the Bankruptcy Code. *See, e.g.*, *id.*; *In re Parks*, 503 B.R. 820, 827 (Bankr. W.D. Wash. 2013). For instance, § 1109(b), the "Right to be heard," extends "a party in interest, including . . ." to those beyond the subsequent examples. 11 U.S.C. § 1109(b); *In re Tower Park Props., LLC*, 803 F.3d at 457, 460 (embracing any party with a legally protected interest as a party in interest). Similarly, application of "includes" in § 101(9)(A) extends the definition of "corporation" in § 101(9) to include LLCs, although not explicitly listed in the statute. 11 U.S.C. §§ 101(9) 101(9)(A); *see In re Parks*, 503 B.R. 820, 827 (Bankr. W.D. Wash. 2013). Here, § 503(b) employs the defined phrase "including" in the same manner. Accordingly, interpretation of § 503(b) unequivocally establishes that administrative expenses are not confined to the list in §§ 503(b)(1)-(9). The analysis cannot progress further.

2. Section 503(b)(3)(D) Cannot Preclude Allowance of Administrative Expenses for Substantial Contributions to Chapter 7 Cases.

Because of the expansive phrase "including," language in § 503(b)'s subsections cannot restrict the allowance of administrative expenses. Therefore, the phrase "in a case under chapter 9 or 11" in § 503(b)(3)(D) cannot be interpreted in a way that precludes chapter 7 application. While "including" is defined in the Code and its meaning obvious, the language used in § 503(b)(3)(D) cannot be analyzed the same way. There is no legislative guidance of § 503(b)(3)(D)'s interpretation, meaning its reading relies heavily on the stricture that statutes must be interpreted together. *Duparquet Huot & Moneuse Co. v. Evans*, 297 U.S. 216, 218 (1936). Analysis must follow "the structure of the statute, and the relation, physical and logical, between its several parts." *Id.* In so doing, "statutes should be construed so that effect is given to all its provisions." *Hibbs v. Winn*, 542 U.S. 88, 101 (2004).

The physical relation between § 503(b) and its subsections indicates that § 503(b)(3)(D) cannot override the broad language. The Petitioner argues that the specific language in § 503(b)(3)(D) governs the term in § 503(b). However, the relevant language comes after the term "including." 11 U.S.C. §§ 503(b), 503(b)(3)(D). "By using . . . 'including' in the opening lines of [§ 503(b)], Congress built a mechanism into [the statute] for bankruptcy courts to reimburse expenses not specifically mentioned in § 503(b)'s subsections." *In re Connolly N. Am., LLC*, 802 F.3d at 816. Section 503(b) governs § 503(b)(3)(D), not vice versa. Respectfully, it matters not that § 503(b)(3) "does not use the term 'including,'" as well. R. at 29 (Moon, J., dissenting). Otherwise, words within an example would craft an exception that would swallow the general rule of expansive reading.

Moreover, the logical interplay between § 503(b) and § 503(b)(3)(D) prevents the opposing side from drawing inferences that would limit the explicitly expansive language. Generally, Congress adds limitations where appropriate. *See* 11 U.S.C. § 503(c); *In re Maust Transp., Inc.*, 589 B.R. 887, 893 (Bankr. W.D. Wash. 2018) (highlighting amendment to § 503(c) expressly restricting broad application of compensation awards); R. at 19 n.12. In the absence of such explicit limitations, courts are required to use context to draw implicit limitations. *N.L.R.B. v. SW Gen., Inc.*, 137 S. Ct. 929, 940 (2017). Section 503(b)(3)(D) does not expressly preclude application to chapter 7 cases, forcing the Petitioner to retreat to the canon *expressio unius est exclusio alterius* (i.e., to express or include one thing implies the exclusion of another). 11 U.S.C. § 503(b)(3)(D). However, case law states that the use of "including" as an "unambiguous general directive . . . renders the *expressio unius* rule inapplicable to [§] 503(b)." *In re Mark Anthony Const., Inc. v. Ledlin (In re Mark Anthony Const., Inc.)*, 886 F.2d 1101,

1106 (9th Cir. 1989); *In re Maust Transp., Inc.*, 589 B.R. at 898. Stated another way, a negative inference cannot exclude something when in the presence of explicit inclusionary language.

3. Section 503(b)(3)(D) Instructs when to Grant Administrative Expense Priority for Substantial Contributions in a Chapter 7 Case.

The Petitioner is quick to note that application of § 503(b)(3)(D) to chapter 7 renders references to chapters 9 and 11 meaningless under the same canon that "[a] statute should be construed so that effect is given to all its provisions." *Hibbs*, 542 U.S. at 101 (quotation omitted). While prior case law indicates that § 503(b)(3)(D) outright precludes application to chapter 7, a new trend of cases interprets the statute not as preclusive, but as instructive. *Compare Lebron v. Mechem Fin., Inc.*, 27 F.3d 937, 945 (3d Cir. 1994) (precluding § 503(b)(3)(D) from chapter 7 cases), *and Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005) (interpreting § 503(b)(3)(D) as exclusive to chapters 9 and 11), *with In re Connolly N. Am., LLC*, 802 F.3d at 816 (applying § 503(b)(3)(D) to certain chapter 7 cases), *and In re Maust Transp., Inc.*, 589 B.R. at 898-99 (awarding substantial contribution expenses in chapter 7 case). In light of the contextual framework of § 503(b), the new trend of decisions allowing substantial contribution administrative expenses in chapter 7 cases gives effect to all provisions of the statute.

An understanding of the roles and responsibilities of creditors, debtors, and trustees is necessary to properly interpret § 503(b)(3)(D). In a chapter 7 case, §§ 701, 702, and 703 dictate the appointment of a case trustee. 11 U.S.C. §§ 701, 702, 703. Section 704 then outlays the trustee's responsibilities, including the fiduciary duties to all creditors and the bankruptcy estate. 11 U.S.C. § 704(a); TABB, *supra*, at 82. Section 1106 states that debtors in possession "shall perform the duties of the trustee, as specified in . . . [§] 704." 11 U.S.C. §§ 1106(a)(1). Chapter

9 cases also allow the debtor to remain in possession and manage its property, fulfilling the role of a trustee. 11 U.S.C. § 902(5). While in each case someone is imbued with fiduciary duties to creditors, the fiduciaries' roles are drastically different in chapters 9 and 11 than in chapter 7. *In re Connolly, N. Am., LLC*, 802 F.3d at 817. Creditors in a chapter 9 or 11 case must be more engaged due to the limited nature of trustee and debtor involvement. *See* 11 U.S.C. §§ 902, 1106. On the other hand, the chapter 7 trustee has a more active role. 11 U.S.C. §§ 704, 783 (outlining duties and additional powers of chapter 7 trustee).

Proper interpretation of § 503(b)(3)(D) instructs that administrative expense claims for substantial contributions should be awarded when a chapter 7 case is "atypical." *In re Connolly, N. Am., LLC*, 802 F.3d at 817. In a traditional chapter 7 case, the trustee has an expansive role. 11 U.S.C. §§ 323, 704, 783. Courts have classified a chapter 7 case as atypical when a trustee does not, or cannot, fulfill its expected role. *In re Connolly, N. Am. LLC*, 802 F.3d at 812-13 (awarding administrative expense claim for creditor's efforts to remove bankruptcy trustee for misfeasance). In these situations, creditors must rely on their own efforts to fill the void, mirroring their involvement in chapters 9 and 11. *See, e.g.*, *In re Javed*, 592 B.R. 615, 617 (Bankr. D. Md. 2018) (awarding a chapter 7 administrative expense claim for expenses incurred before the trustee was actively engaged in the case); *In re Maust Transp., Inc*, 589 B.R. at 898-99 (awarding creditor expenses for substantial contributions where trustee could not pursue fraudulent conveyance). The fruits of these efforts often constitute a substantial contribution, for which the creditor ultimately requests reimbursement. *See In re Maqsoudi*, 566 B.R. 40, 45 (Bankr. C.D. Cal. 2017) (expanding § 503(b)(3) to chapter 7 after creditor, not trustee, rooted out a fraudulent transfer).

This interpretation of § 503(b)(3)(D) does not open the floodgates to reimbursement in all atypical chapter 7 cases, as courts are reticent to apply this subsection in situations where the chapter 7 trustee fulfills its role. In such instances, the creditor's actions do not confer a benefit to the estate because the efforts are duplicative to those of the trustee. *See In re Maust Transp., Inc.*, 589 B.R. at 899 (reducing creditor's administrative expense claim to exclude duplication); *see also In re Lloyd Secs., Inc.*, 75 F.3d 853, 856 (3d Cir. 1996) (denying award to reimburse actions replicating the trustee's actions). The motive behind the creditor's actions does not matter; the only question is whether the creditor conferred a benefit to the estate when the trustee was unable. *See In re Maqsoudi*, 566 B.R. at 45 (highlighting scope of creditor's beneficial actions). *Contra In re United Educ. & Software*, 2005 WL 6960237, at *7 (refusing to extend reimbursement because creditor acted out of self interest despite benefit to the estate).

This case was sufficiently atypical to extend administrative expense priority to Weinberg. It is stipulated that Weinberg conferred a substantial contribution to the estate. R. at 7-8. Shortly after Weinberg filed suit to collect on his loan, the Debtor sent $100,000 to Patti Clemons. R. at 7. This fraudulent transfer occurred within the two-year clawback period beginning on the date of the bankruptcy filing in February 2017. 11 U.S.C. § 548(a)(1); R. at 7. As debtor in possession of a single-shareholder corporation, the Debtor had a fiduciary duty to disclose this transfer. 11 U.S.C. § 1106(a)(1). It did not. Upon conversion to the chapter 7 case—still within the two-year clawback period—the Debtor continued to conceal the fraudulent transfer. While catching up to speed, the Trustee was not in a position to sufficiently investigate. R. at 7. Weinberg stepped in and hired the collection firm that conducted the creditor's examination. R. at 7. It was only due to Weinberg's efforts that the Trustee was able to reach a quick settlement with Patti Clemons, enlarging the estate by $75,000. R at. 7. The Trustee was not in a position

to fulfill its obligation and investigate the fraudulent transfer. Weinberg stepped in, as creditors commonly do in chapters 9 and 11. Therefore, § 503(b)(3)(D) should extend to the $25,000 administrative expense claim for Weinberg's efforts.

B. Allowance of Administrative Expenses for Substantial Contributions in a Chapter 7 Case Furthers Sound Bankruptcy Policy.

As a court of equity, bankruptcy courts may consider policy implications when analyzing issues. *Kelly v. Robinson*, 479 U.S. 36, 43 (1986). The Bankruptcy Code is written in recognition of the courts' equitable powers; thus, when legal conclusions result in unfair realities, bankruptcy courts may wield those powers to ensure just results. *See generally* 11 U.S.C. § 105(a); *Pepper v. Littleton*, 308 U.S. 295 (1939); *Local Loan Co. v. Hunt*, 292 U.S. 234 (1934). Section 503(b) is no exception, and the countervailing belief that priorities should be narrowly construed cannot impede the power that the Code provides. *Compare Supplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2d Cir. 2007), *with In re Connolly*, 802 F.3d at 816. As such, the allowance of awards in chapter 7 cases benefits all parties involved.

1. Precluding Substantial Contribution Administrative Expenses in Chapter 7 Cases Upsets the Equitable Powers Conferred onto Bankruptcy Judges.

The Bankruptcy Code mandates that administrative expense claimants be paid in full before unsecured creditors receive any distribution. 11 U.S.C. § 507(a). Priority treatment upsets the central tenant of bankruptcy law that like creditors be treated equally because a preference is given to one creditor at the expense of other like creditors. *In re Cameron*, 166 F. Supp. 400, 408 (Bankr. S.D. Cal. 1958) ("Equality of distribution between creditors equally situated is the aim of the bankruptcy law.") (internal quotation omitted). Specifically, administrative claims use estate assets to confer a dollar-for-dollar benefit, thus reducing the pro

rata share for general creditors. 11 U.S.C. § 507(a)(2). As a priority, administrative expenses are to be paid before most, thus running the risk of completely exhausting estate assets for general unsecured creditors. *Id.* Consequently, it is commonly accepted that "statutory priorities should be narrowly construed." *In re Bethlehem Steel Corp.*, 479 F.3d at 172.

Although courts may strive to construe priorities narrowly, this Court has consistently noted that bankruptcy courts are ones of equity. *Local Loan Co.*, 292 U.S. at 240. To preclude chapter 7 cases from § 503(b)(3)(D) in order to maintain a narrow priority scheme would inhibit bankruptcy judges from making equitable decisions when necessary. 11 U.S.C. § 105(a); *see In re Connolly, N. Am., LLC*, 802 F.3d at 816 (allowing administrative expense claim in chapter 7 while noting strict construction). Further, the inherent equitable power granted by § 105(a) is in line with an expansive definition of "including" in § 503(b). 11 U.S.C. §§ 102(3), 503(b). In the present case, Weinberg's efforts resulted in an additional $75,000 for the estate. R. at 7. Without his investigation, the Trustee may never have discovered the fraudulent transfer or reached a quick settlement with Patti Clemons. Although granting the claim in full reduces the estate by $25,000, the general creditors still benefit from a $50,000 contribution that they otherwise would not have had. It would be inequitable to deny reimbursement for Weinberg's substantial contribution simply because the case is in the wrong chapter.

2. If Substantial Contribution Administrative Expenses were Precluded from Chapter 7 Cases, Creditors Would be Dissuaded from Involvement.

Because bankruptcy courts are ones of equity, when interpreting the language of § 503(b)(3)(D), the Court must consider the "whole law, and . . . its object and policy." *Kelly*, 479 U.S. at 43. It is important to embrace chapter 7 creditors who benefit the bankruptcy estate by taking action when nobody else is willing to do so. *In re Connolly N. Am., LLC*, 802 F.3d at 818.

Weinberg incurred a substantial expense that resulted in estate benefits—the Trustee avoided costs and money was recovered for the general creditor pool. R. at 7-8. If Weinberg is reimbursed, precedent is set that incentivizes creditors to participate in situations that they otherwise may not. However, if Weinberg does not receive priority treatment, creditors in the future may choose not to participate even in situations where their efforts could benefit the estate. Without Weinberg's efforts, the Trustee may never have learned of the fraudulent transfer, let alone recover it. To avoid creating a chilling effect among creditor involvement, this Court should affirm the United States Court of Appeals for the Thirteenth Circuit.

CONCLUSION

For the foregoing reasons, Respondent, Milton Weinberg, respectfully requests this Court to reaffirm the decision of the United States Court of Appeals for the Thirteenth Circuit.

Respectfully submitted,

Team 1
Counsel for Respondent
Date: January 21, 2019

APPENDIX A

11 U.S.C. § 101. Definitions.

. . .

(9) The term "corporation"—

(A) includes—

(i) association having a power or privilege that a private corporation, but not an individual or a partnership, possesses;
(ii) partnership association organized under a law that makes only the capital subscribed responsible for the debts of such association;
(iii) joint-stock company;
(iv) unincorporated company or association; or
(v) business trust; but

(B) does not include limited partnership.

. . . .

APPENDIX B

11 U.S.C. § 102. Rules of Construction.

In this title—
. . .

(3) "includes" and "including" are not limiting;
. . .

APPENDIX C

11 U.S.C. § 105. Power of court.

(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.

. . .

APPENDIX D

11 U.S. Code § 323. Role and capacity of trustee.

(a) The trustee in a case under this title is the representative of the estate.

(b) The trustee in a case under this title has capacity to sue and be sued.

APPENDIX E

11 U.S.C. § 362. Automatic Stay.

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

. . .

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

. . .

(k)

(1) Except as provided in paragraph (2), an individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages.

(2) If such violation is based on an action taken by an entity in the good faith belief that subsection (h) applies to the debtor, the recovery under paragraph (1) of this subsection against such entity shall be limited to actual damages.

APPENDIX F

11 U.S.C. § 363. Use, sale, or lease of property.

. . .

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

. . .

APPENDIX G

11 U.S. Code § 502. Allowance of claims or interests.

. . .

(2) The debtor shall have the burden of proving, by clear and convincing evidence, that—

> **(A)** the creditor unreasonably refused to consider the debtor's proposal; and
> **(B)** the proposed alternative repayment schedule was made prior to expiration of the 60-day period specified in paragraph (1)(B)(i).

APPENDIX H

11. U.S.C. § 503. Administrative expense claims.

. . .

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

. . .

> **(3)** the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—
>
> . . .
>
> > **(D)** a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

. . .

APPENDIX I

11 U.S. Code § 506. Determination of secured status.

(a)

(1) An allowed claim of a creditor secured by a lien on property in which the estate has an interest, or that is subject to setoff under section 553 of this title, is a secured claim to the extent of the value of such creditor's interest in the estate's interest in such property, or to the extent of the amount subject to setoff, as the case may be, and is an unsecured claim to the extent that the value of such creditor's interest or the amount so subject to setoff is less than the amount of such allowed claim. Such value shall be determined in light of the purpose of the valuation and of the proposed disposition or use of such property, and in conjunction with any hearing on such disposition or use or on a plan affecting such creditor's interest.

(2) If the debtor is an individual in a case under chapter 7 or 13, such value with respect to personal property securing an allowed claim shall be determined based on the replacement value of such property as of the date of the filing of the petition without deduction for costs of sale or marketing. With respect to property acquired for personal, family, or household purposes, replacement value shall mean the price a retail merchant would charge for property of that kind considering the age and condition of the property at the time value is determined.

(b) To the extent that an allowed secured claim is secured by property the value of which, after any recovery under subsection (c) of this section, is greater than the amount of such claim, there shall be allowed to the holder of such claim, interest on such claim, and any reasonable fees, costs, or charges provided for under the agreement or State statute under which such claim arose.

(c) The trustee may recover from property securing an allowed secured claim the reasonable, necessary costs and expenses of preserving, or disposing of, such property to the extent of any benefit to the holder of such claim, including the payment of all ad valorem property taxes with respect to the property.

(d) To the extent that a lien secures a claim against the debtor that is not an allowed secured claim, such lien is void, unless—

(1) such claim was disallowed only under section 502(b)(5) or 502(e) of this title; or

(2) such claim is not an allowed secured claim due only to the failure of any entity to file a proof of such claim under section 501 of this title.

APPENDIX J

11 U.S. Code § 507. Priorities.

(a) The following expenses and claims have priority in the following order:

. . .

> **(2)** Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343),[1] and any fees and charges assessed against the estate under chapter 123 of title 28.
>
> **(3)** Third, unsecured claims allowed under section 502(f) of this title.

. . .

(b) If the trustee, under section 362, 363, or 364 of this title, provides adequate protection of the interest of a holder of a claim secured by a lien on property of the debtor and if, notwithstanding such protection, such creditor has a claim allowable under subsection (a)(2) of this section arising from the stay of action against such property under section 362 of this title, from the use, sale, or lease of such property under section 363 of this title, or from the granting of a lien under section 364(d) of this title, then such creditor's claim under such subsection shall have priority over every other claim allowable under such subsection.

. . .

APPENDIX K

11 U.S. Code § 541. Property of the estate.

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.
(2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is—
(A) under the sole, equal, or joint management and control of the debtor; or
(B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.
(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.
(4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title.
(5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date—
(A) by bequest, devise, or inheritance;
(B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or
(C) as a beneficiary of a life insurance policy or of a death benefit plan.
(6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.
(7) Any interest in property that the estate acquires after the commencement of the case.

APPENDIX L

11 U.S. Code § 542. Turnover of property to the estate.

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

. . .

APPENDIX M

11 U.S. Code § 544. Trustee as lien creditor and as successor to certain creditors and purchasers.

(a) The trustee shall have, as of the commencement of the case, and without regard to any knowledge of the trustee or of any creditor, the rights and powers of, or may avoid any transfer of property of the debtor or any obligation incurred by the debtor that is voidable by—

> **(1)** a creditor that extends credit to the debtor at the time of the commencement of the case, and that obtains, at such time and with respect to such credit, a judicial lien on all property on which a creditor on a simple contract could have obtained such a judicial lien, whether or not such a creditor exists;
> **(2)** a creditor that extends credit to the debtor at the time of the commencement of the case, and obtains, at such time and with respect to such credit, an execution against the debtor that is returned unsatisfied at such time, whether or not such a creditor exists; or
> **(3)** a bona fide purchaser of real property, other than fixtures, from the debtor, against whom applicable law permits such transfer to be perfected, that obtains the status of a bona fide purchaser and has perfected such transfer at the time of the commencement of the case, whether or not such a purchaser exists.

. . .

APPENDIX N

11 U.S. Code § 548. Fraudulent transfers and obligations.

(a)

(1) The trustee may avoid any transfer (including any transfer to or for the benefit of an insider under an employment contract) of an interest of the debtor in property, or any obligation (including any obligation to or for the benefit of an insider under an employment contract) incurred by the debtor, that was made or incurred on or within 2 years before the date of the filing of the petition, if the debtor voluntarily or involuntarily—

(A) made such transfer or incurred such obligation with actual intent to hinder, delay, or defraud any entity to which the debtor was or became, on or after the date that such transfer was made or such obligation was incurred, indebted; or

(B)

(i) received less than a reasonably equivalent value in exchange for such transfer or obligation; and

(ii)

(I) was insolvent on the date that such transfer was made or such obligation was incurred, or became insolvent as a result of such transfer or obligation;

(II) was engaged in business or a transaction, or was about to engage in business or a transaction, for which any property remaining with the debtor was an unreasonably small capital;

(III) intended to incur, or believed that the debtor would incur, debts that would be beyond the debtor's ability to pay as such debts matured; or

(IV) made such transfer to or for the benefit of an insider, or incurred such obligation to or for the benefit of an insider, under an employment contract and not in the ordinary course of business.

. . .

APPENDIX O

11 U.S. Code § 701. Interim trustee.

(a)

(1) Promptly after the order for relief under this chapter, the United States trustee shall appoint one disinterested person that is a member of the panel of private trustees established under section 586(a)(1) of title 28 or that is serving as trustee in the case immediately before the order for relief under this chapter to serve as interim trustee in the case.

(2) If none of the members of such panel is willing to serve as interim trustee in the case, then the United States trustee may serve as interim trustee in the case.

(b) The service of an interim trustee under this section terminates when a trustee elected or designated under section 702 of this title to serve as trustee in the case qualifies under section 322 of this title.

(c) An interim trustee serving under this section is a trustee in a case under this title.

APPENDIX P

11 U.S. Code § 702. Election of trustee.

(a) A creditor may vote for a candidate for trustee only if such creditor—

> **(1)** holds an allowable, undisputed, fixed, liquidated, unsecured claim of a kind entitled to distribution under section 726(a)(2), 726(a)(3), 726(a)(4), 752(a), 766(h), or 766(i) of this title;
> **(2)** does not have an interest materially adverse, other than an equity interest that is not substantial in relation to such creditor's interest as a creditor, to the interest of creditors entitled to such distribution; and
> **(3)** is not an insider.

(b) At the meeting of creditors held under section 341 of this title, creditors may elect one person to serve as trustee in the case if election of a trustee is requested by creditors that may vote under subsection (a) of this section, and that hold at least 20 percent in amount of the claims specified in subsection (a)(1) of this section that are held by creditors that may vote under subsection (a) of this section.

(c) A candidate for trustee is elected trustee if—

> **(1)** creditors holding at least 20 percent in amount of the claims of a kind specified in subsection (a)(1) of this section that are held by creditors that may vote under subsection (a) of this section vote; and
> **(2)** such candidate receives the votes of creditors holding a majority in amount of claims specified in subsection (a)(1) of this section that are held by creditors that vote for a trustee.

(d) If a trustee is not elected under this section, then the interim trustee shall serve as trustee in the case.

APPENDIX Q

11 U.S. Code § 703. Successor trustee.

(a) If a trustee dies or resigns during a case, fails to qualify under section 322 of this title, or is removed under section 324 of this title, creditors may elect, in the manner specified in section 702 of this title, a person to fill the vacancy in the office of trustee.

(b) Pending election of a trustee under subsection (a) of this section, if necessary to preserve or prevent loss to the estate, the United States trustee may appoint an interim trustee in the manner specified in section 701(a).

(c) If creditors do not elect a successor trustee under subsection (a) of this section or if a trustee is needed in a case reopened under section 350 of this title, then the United States trustee—

> **(1)** shall appoint one disinterested person that is a member of the panel of private trustees established under section 586(a)(1) of title 28 to serve as trustee in the case; or
> **(2)** may, if none of the disinterested members of such panel is willing to serve as trustee, serve as trustee in the case.

APPENDIX R

11 U.S. Code § 783. Additional powers of trustee.

(a) Distribution of Property Not of the Estate.—
The trustee under this subchapter has power to distribute property not of the estate, including distributions to customers that are mandated by subchapters III and IV of this chapter.

(b) Disposition of Institution.—The trustee under this subchapter may, after notice and a hearing—

> **(1)** sell the clearing bank to a depository institution or consortium of depository institutions (which consortium may agree on the allocation of the clearing bank among the consortium);
> **(2)** merge the clearing bank with a depository institution;
> **(3)** transfer contracts to the same extent as could a receiver for a depository institution under paragraphs (9) and (10) of section 11(e) of the Federal Deposit Insurance Act;
> **(4)** transfer assets or liabilities to a depository institution; and
> **(5)** transfer assets and liabilities to a bridge depository institution as provided in paragraphs (1), (3)(A), (5), and (6) of section 11(n) of the Federal Deposit Insurance Act, paragraphs (9) through (13) of such section, and subparagraphs (A) through (H) and subparagraph (K) of paragraph (4) of such section 11(n), except that—
>
> > **(A)** the bridge depository institution to which such assets or liabilities are transferred shall be treated as a clearing bank for the purpose of this subsection; and
> > **(B)** any references in any such provision of law to the Federal Deposit Insurance Corporation shall be construed to be references to the appointing agency and that references to deposit insurance shall be omitted.

(c) Certain Transfers Included.—
Any reference in this section to transfers of liabilities includes a ratable transfer of liabilities within a priority class.

APPENDIX S

11 U.S. Code § 902. Definitions for this chapter

…

(5) "trustee", when used in a section that is made applicable in a case under this chapter by section 103(e) 1 or 901 of this title, means debtor, except as provided in section 926 of this title.

APPENDIX T

11 U.S. Code § 1106. Duties of trustee and examiner.

(a) A trustee shall—

(1) perform the duties of the trustee, as specified in paragraphs (2), (5), (7), (8), (9), (10), (11), and (12) of section 704(a);
(2) if the debtor has not done so, file the list, schedule, and statement required under section 521(a)(1) of this title;
(3) except to the extent that the court orders otherwise, investigate the acts, conduct, assets, liabilities, and financial condition of the debtor, the operation of the debtor's business and the desirability of the continuance of such business, and any other matter relevant to the case or to the formulation of a plan;
(4) as soon as practicable—

(A) file a statement of any investigation conducted under paragraph (3) of this subsection, including any fact ascertained pertaining to fraud, dishonesty, incompetence, misconduct, mismanagement, or irregularity in the management of the affairs of the debtor, or to a cause of action available to the estate; and
(B) transmit a copy or a summary of any such statement to any creditors' committee or equity security holders' committee, to any indenture trustee, and to such other entity as the court designates;

(5) as soon as practicable, file a plan under section 1121 of this title, file a report of why the trustee will not file a plan, or recommend conversion of the case to a case under chapter 7, 12, or 13 of this title or dismissal of the case;
(6) for any year for which the debtor has not filed a tax return required by law, furnish, without personal liability, such information as may be required by the governmental unit with which such tax return was to be filed, in light of the condition of the debtor's books and records and the availability of such information;
(7) after confirmation of a plan, file such reports as are necessary or as the court orders; and
(8) if with respect to the debtor there is a claim for a domestic support obligation, provide the applicable notice specified in subsection (c).

APPENDIX U

Rule 5005. Filing and Transmittal of Papers.

(a) Filing.

> **(1)** *Place of Filing*. The lists, schedules, statements, proofs of claim or interest, complaints, motions, applications, objections and other papers required to be filed by these rules, except as provided in 28 U.S.C. §1409, shall be filed with the clerk in the district where the case under the Code is pending. The judge of that court may permit the papers to be filed with the judge, in which event the filing date shall be noted thereon, and they shall be forthwith transmitted to the clerk. The clerk shall not refuse to accept for filing any petition or other paper presented for the purpose of filing solely because it is not presented in proper form as required by these rules or any local rules or practices.

. . .

APPENDIX V

Rule 7001. Scope of Rules of Part VII.

An adversary proceeding is governed by the rules of this Part VII. The following are adversary proceedings:

(1) a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee, or a proceeding under §554(b) or §725 of the Code, Rule 2017, or Rule 6002;

. . .

APPENDIX W

Rule 9014. Contested Matters.

(a) Motion. In a contested matter not otherwise governed by these rules, relief shall be requested by motion, and reasonable notice and opportunity for hearing shall be afforded the party against whom relief is sought. No response is required under this rule unless the court directs otherwise.
. . .